pany, and an investment in debenture stock may now be made accordingly.

[31. **Local Loans Act.** — By "The Local Loans Act, 1875," 38 & 39 Vict. c. 83, s. 27, trustees or other persons for the time being authorised or directed to invest in the debentures or debenture stock of any railway or other company, unless the contrary is expressed in the instrument, are empowered to invest in any nominal debentures or nominal debenture stock issued under the Act. And a similar power is frequently given by Local Acts to invest in corporation and county stocks issued thereunder, but a proviso is sometimes added to prevent the investment in redeemable stock from being made at a price exceeding its redemption value.]

32. **Terminable securities.** — And where a fund is settled upon trust for one for life with remainders over, a power to "invest upon Government real or personal security, or in such stocks, funds, or shares, as the trustees in their *absolute discretion may think fit*," will not authorise a purchase of ordinary consolidated stock, or of preference or guaranteed stock of a *terminable character* (*a*).

33. **Direction to retain investments.** — If a testator direct his "personal estate invested in Government or *other securities in bonds or shares* of whatever nature or kind, to be held in the same or the like investments," the executors are justified in retaining in specie Victoria bonds, Brazilian and Russian bonds, and English and Indian Railway stock, and East India stock (*b*). If shares in a banking company are given to trustees "upon trust to permit them to remain in their then state of investment," but the Company is reconstituted, and the shares which were originally fully paid up with unlimited liability are converted into shares of limited liability but with a margin of uncalled capital, the authority to retain the shares is exhausted, as they have ceased to be in the same estate of investment.[1]

34. **Shares which must stand in one name only.** — If a trust fund be given to *three* trustees, with power to sell out and

(*a*) Stewart *v.* Sanderson, 10 L. R. Eq. 26.

(*b*) Arnould *v.* Grinstead, W. N. 1872, p. 216; 21 W. R. 155.

[1] *Re* Morris, 54 L. J. N. S. Ch. 388.